

Multiple Choice

1. **Answer:** B

Options: A) the price level rises for two consecutive quarters; B) the price level rises and output falls; C) the price level stays the same and output increases; D) the price level stays the same and output decreases

Note: Correct option: B - the price level rises and output falls

2. **Answer:** A

Options: A) One can have comparative advantage in producing both goods.; B) One can have both an absolute advantage and a comparative advantage in producing x.; C) One can have absolute advantage and no comparative advantage in producing x.; D) One can have comparative advantage and no absolute advantage in producing x.

Note: Correct option: A - One can have comparative advantage in producing both goods.

3. **Answer:** D

Options: A) Horizontal; B) Convex to the origin; C) Concave to the origin; D) Vertical

Note: Correct option: D - Vertical

4. **Answer:** B

Options: A) Differentiated products; B) Patents and copyrights; C) Possibility of profit in the short run; D) Deadweight loss exists

Note: Correct option: B - Patents and copyrights

5. **Answer:** A

Options: A) a decrease in the demand for coffee-brewing machines.; B) a persistent shortage of coffee in the market.; C) an increase in consumer surplus due to lower coffee prices.; D) an increase in the demand for coffee.

Note: Correct option: A - a decrease in the demand for coffee-brewing machines.

True / False

6. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

7. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'month; The Bureau of Labor Statistics'.

8. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

9. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'worsen the balance of trade.'

10. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'An American pop singer performs a sold-out concert in Paris.'

Long Form Response

11. **Answer:** seasonal unemployment.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

12. **Answer:** rising price levels.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key